dawned on me that we seemed to be spending hundreds of millions on conflicted transactions," said a former trustee of Dartmouth.[31] In September 2009, 4% of Dartmouth's endowment was in Mandel's fund.

Another governance model that I recommend NYSCRF not follow is that of CalPERS, the large state pension fund in California. CalPERS is beset by political interference.[32] Its board is not independent of government. On the contrary, it has four government ex-officio members. Six of the thirteen board members are from unions. Thus there are not many board members directly and independently representing beneficiaries.

The main requirement for board members should be independence; director competence should be continually upgraded by education, and this process itself enables principals to better monitor and evaluate agents.

4.2. WHAT BOARDS SHOULD DO

Own Factor Risk Sources and Exposures

Two things cannot be outsourced by boards, and these are the two most important decisions in asset management: the level of risk to be taken and the key sources of factor risk premiums to be exploited.[33] These decisions must be made based on the characteristics of the asset owner (see Part I) with an emphasis on how these characteristics allow the investor to collect long-run factor risk premiums or insure against short-run factor risk calamities (see Part II). The board of CPPIB, for example, owns the Reference Portfolio. The Reference Portfolio is the capstone of CPPIB's strategic risk-taking framework and is, in effect, a factor exposure decision. It is a passive factor mix that is reasonably expected to match its liabilities and can be implemented in low-cost, passive vehicles. (CPPIB practices factor investing; see chapter 14.) Through the choice of the Reference Portfolio, the board of CPPIB has pinned down its desired level of risk and the factor risk premiums to be exploited in the long run.

Build Processes to Make Investment Decisions, But Do Not Make Investment Decisions

Boards should build processes for a fund manager to make investment decisions, rather than make direct investment decisions themselves. Elroy Dimson, a prominent U.K. finance professor, asks how often a board or committee should meet

[31] Quoted in Wee, G., "Leon Black Investing Dartmouth Money Stirs Ethics Debate," Bloomberg, Jan. 7, 2013.

[32] Several instances are outlined in "California Dreamin': The Mess at CalPERS," Columbia CaseWorks ID#120306, 2012.

[33] Chapter 14 discusses these points in the context of factor investing.